causing traders headaches before a trend appears.

Statistics

Table 54.2 shows general statistics.

Number found. The inverted roof pattern is rare. I searched and found them in 378 stocks from July 1991 to October 2019. Not all stocks covered the entire range. There were only 59 bear market patterns, too few to be worth reporting on. They would just confuse the issue with facts.

Reversal (R), continuation (C) occurrence. Upward breakouts are most often continuations of the upward price trend. Downward breakouts frequently act as reversals.

Reversal/continuation performance. Sorting performance by reversal or continuation behavior, upward breakouts do slightly better if the pattern acts as a reversal. Downward breakouts don't show a compelling preference.

Average rise or decline. Both breakout directions show poor performance, so make sure you have a compelling reason for trading this chart pattern.

Standard & Poor's 500 change. As bad as the performance of the inverted roof is, it still beats the performance of the S&P 500 index. I used the same hold time from the breakout to the ultimate high or low of the inverted roof and measured the move for both the roof and index.